



AI Solution Due Diligence for Accounting Firms

Artificial Intelligence is no longer experimental within the accounting profession—it is operational. Firms are deploying AI across audit, tax, advisory, bookkeeping, and internal workflows to drive efficiency and scalability. However, AI adoption in a regulated, trust-based profession introduces material risks around data security, compliance, auditability, and professional judgment.

This whitepaper provides a structured due diligence framework to help accounting firms evaluate AI-enabled technology solutions responsibly. The objective is not to slow innovation, but to ensure AI adoption aligns with regulatory obligations, client confidentiality standards, and long-term firm governance.

This framework is designed to support informed vendor conversations, evidence-based decision-making, and defensible risk management practices

Why AI Due Diligence Is Non-Negotiable for Accounting Firms

Unlike general SaaS tools, AI systems:

- Interact directly with sensitive client data
- Introduce probabilistic outputs into deterministic workflows
- May rely on third-party models and infrastructure
- Can create audit and explainability challenges

For accounting firms, failures in AI governance can translate into:

- Regulatory exposure
- Breach of professional standards
- Client trust erosion
- Audit and litigation risk



Accordingly, AI solutions must be evaluated with the same rigor applied to audit tools, tax engines, and financial reporting systems.

Quick-Start Framework: Five Critical Verifications

Before engaging in deep technical evaluation, firms should validate five foundational areas:



1. Data Flow Transparency

Vendors must clearly explain:

- What data is accessed
- Where data is processed and stored
- Whether data is transmitted to external Large Language Models (LLMs)
- What data is anonymized or redacted before external processing

A lack of clarity on data flow is an immediate red flag.



2. SOC 2 Assurance

Not all SOC 2 reports provide equal comfort.

Firms should confirm:

- SOC 2 Type II (operating effectiveness over time)
- Scope includes the specific AI product being procured
- Sub-processors are disclosed and not carved out
- Exceptions are clearly explained and remediated

Quick-Start Framework: Five Critical Verifications

3. Purposeful Use of AI

Firms should understand where and why AI is used within the product:

- Deterministic logic for accuracy-critical tasks
- Predictive or generative AI only where appropriate
- Controlled agent or autonomous workflows

AI should enhance professional judgment—not replace it.



4. Trial and Validation Using Firm Data

A production-grade AI solution must withstand testing with firm-specific or anonymized data.

Firms should evaluate:

- Accuracy and consistency
- Hallucination risk
- Behavior under low-confidence scenarios
- Data handling after trial completion



5. Vendor Transparency and Maturity

Strong vendors demonstrate:

- Willingness to share documentation
- Clear explanations of AI architecture
- No evasive answers regarding data usage or model training
- Openness to scrutiny



Deep-Dive Due Diligence: Core Evaluation Domains

1. Data Privacy, Ownership, and Use

Key questions firms should address:

- What client data is stored, and for how long?
- What are the data deletion and export mechanisms?
- Is customer data used to train or improve AI models?
- Can firms opt out of training usage?
- What happens to data upon service termination?
- Who owns intellectual property generated from firm data?

Vague assurances without enforceable mechanisms should not be accepted.



2. Auditability, Explainability, and Controls

In regulated environments, “black-box AI” is not acceptable.

Firms must assess:

- Availability of audit trails for AI actions
- Explainability of AI-assisted decisions
- Traceability for regulatory and client review
- Exportability of logs and system records
- Controls for overrides, adjustments, and human review

Explainability is a governance requirement—not a technical luxury.



3. Security and Compliance

AI systems must adhere to the same security rigor as core accounting platforms. Evaluation areas include:

- GDPR and jurisdiction-specific privacy compliance
- Least-privilege access enforcement
- Role-based access inheritance for AI agents
- Restrictions on internal vendor access to client data
- Disclosure of all sub-processors and data recipients
- Incident response and breach protocols

Security posture must be demonstrable, not implied.



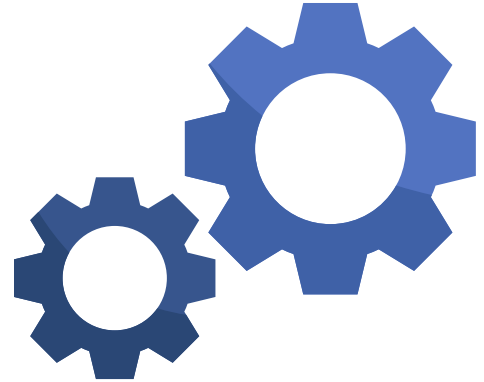
Deep-Dive Due Diligence: Core Evaluation Domains

4. Architecture, Models, and Technical Design

Firms should understand:

- Which AI models are used (generative, predictive, deterministic)
- Hosting model (vendor-controlled, private cloud, external API)
- Use of retrieval-augmented generation (RAG) versus raw prompts
- Version control and model change management
- Safeguards against unintended access or leakage
- Whether the product is a thin wrapper over public LLMs

Architecture maturity is a strong proxy for long-term viability.



5. Accuracy, Reliability, and Quality Controls

Critical evaluation criteria include:

- Accuracy measurement methodology
- Benchmark datasets and validation processes
- Confidence scoring and uncertainty handling
- Human-in-the-loop escalation mechanisms
- Hallucination detection and mitigation
- Bias, drift, and output monitoring
- Rollback and remediation capabilities

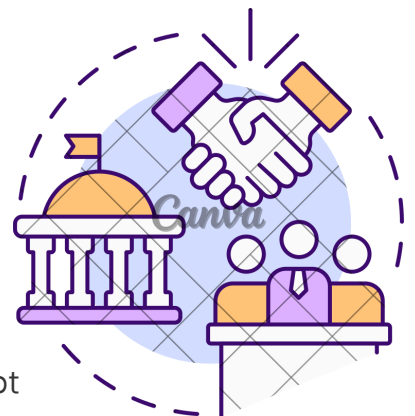
Anecdotal accuracy claims without evidence should be discounted.

6. Vendor Risk, Governance, and Maturity

Beyond the technology, firms must assess vendor sustainability:

- Length of AI system production deployment
- Customer references in similar firm segments
- Change management and training support
- Governance over new feature releases
- Continuity planning if model providers change or sunset services

AI partnerships should be evaluated as long-term strategic relationships, not short-term tools.



Due Diligence Evidence Checklist

Firms should formally request and retain:

- ✓ SOC 2 Type II report
- ✓ Service Level Agreement (SLA)
- ✓ User agreement and Terms of Service
- ✓ Sub-processor list
- ✓ Privacy policy and GDPR compliance documentation
- ✓ Data Processing Addendum (DPA)
- ✓ Data-flow architecture diagram
- ✓ Incident response plan
- ✓ Historical incident reports (if available)
- ✓ Accuracy and benchmarking summaries



This documentation forms the backbone of defensible AI governance.

Conclusion: AI Adoption with Confidence and Control

Effective AI adoption in accounting is not about speed—it is about discipline. Firms that apply structured due diligence frameworks will:

- Protect client trust
- Meet regulatory expectations
- Enable scalable innovation
- Build defensible AI governance models

The quality of vendor engagement, transparency, and documentation often reveals more than the technical answers themselves. Firms that demand clarity will ultimately form stronger, more sustainable AI partnerships



**Contact our firm &
connect with us to
evaluate AI
adoption, vendor
risk, and
governance
frameworks for
your practice.**



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